

By Jagdish Bhagwati |

The prime minister's visit in Washington at the end of November was spectacular, with the Obamas and the Singhs taking centre stage in the media. For those who have forgotten, similar attention came the way of prime minister A.B. Vajpayee when he came to Washington in 2000 and was given the added honour of addressing the US Congress. Indeed, India and her leaders have become a major factor on the US scene since the days of the Clinton administration and, even more dramatically, under the younger President Bush. The assertion that we heard from President Obama that we are the world's leading democracies and therefore "natural allies", which sounded like a pious assertion with no political salience when intellectuals like me began to use it some time ago, has now become a cliché because it has come to be appreciated ever more widely.

But this turn of events, reflecting our changed status in the world economy and therefore in world politics, did not happen fortuitously with a turn of the kaleidoscope. The change occurred as a result of our own policies. As we contemplate the last decade, indeed the last two decades, it is impossible not to remember that India had slipped into obscurity on the world stage, as its economy registered abysmal performance at near-3.5 per cent over nearly a quarter of a century, while the super-performers in the Far East grew at nearly double digits. India, along with China, was widely believed to be the "sleeping giant" that would wake up in the post-war period. But it had continued snoring as the smaller players such as the Lilliputian Far Eastern economies, with very different economic models, sprinted past India whose disastrous policy framework had seriously undermined India's economic performance. The "liberal" reforms that began in earnest under prime minister P.V. Narasimha Rao and then finance minister Manmohan Singh after the 1991 balance of payments crisis were the turning point.

The crisis itself was only the immediate cause; the real cause was that India's elite had come to realise that the

old model, the inherited policy framework, was not working. For, if this conviction had not taken root, we would have reversed the reforms as soon as we recovered from the payments crisis. Instead, we reinforced them in one way or another, under the Congress, then under the BJP, and then again under the Congress.

● **From Anti-Market Fundamentalism to Pragmatic Reforms** This is an important thing to remember, as with the current crisis in the world economy, which is a double crisis interacting between Wall Street, the financial sector, and the Main Street, the real economy, and hence very potent, the ever-hopeful anti-reform intellectuals in India seek to find new reasons to discount and denounce the reforms. So, they turn to financiers like George Soros, and populist economists like Joe Stiglitz, who assert that the crisis shows that "market fundamentalism" is dead, as is the "Washington Consensus" for the developing countries. But these are absurd arguments, coming from ignorance. The proper answer to these people and their ilk is: "Go home and ruin your own countries."

India, like many other developing countries in the post-war period since decolonisation, had wound up embracing a policy framework that consisted of three counterproductive elements. First, there was knee-jerk interventionism to a degree that only those of us who looked closely could appreciate. Second, the public sector had expanded hugely, not just in public utilities but in every industrial activity, often with monopoly positions created by preventing entry of private sector firms at home or from abroad. These two policy approaches were tantamount to what we should call anti-market fundamentalism. Their ill-effects were compounded by a third element: the fear that integration into the world economy would lead to the disintegration of the Indian economy. So, inward-looking policies had steadily reduced our share in world trade and decimated the inward flow of equity investment by foreign firms, and cutting us off from the gains from trade and equity investment which, in varying combinations, had pro-

2001 EARTHQUAKE, TERROR

Terrorists fly hijacked planes into the World Trade Center and the Pentagon; nearly 3,000 killed. US invades Afghanistan. Enron files for bankruptcy. Armed terrorists attack Parliament. India marks Year of Women's Empowerment. Independent India's worst earthquake hits Gujarat, killing over 30,000. Tehelka.com exposes politicians and bureaucrats in a fictitious defence deal. Agra Summit fails.

2002 RIOTS, RAGE

57 *kar sevaks* are burned to death when a mob set fire to a coach of the Sabarmati Express near Godhra; anti-Muslim riots break out in Gujarat. Journalist Daniel Pearl is kidnapped and murdered in Pakistan. Terrorists attack Akshardham Temple in Gandhinagar and Raghunath Temple in Jammu. Dhirubhai Ambani passes away. APJ Abdul Kalam becomes President. Delhi gets its metro. *Lagaan* is nominated for an Oscar.

2003 TWIN BLASTS, SARS

Twin bomb blasts rock Mumbai, killing 52. Outbreak of SARS. 'Made in India' brand arrives around the globe. India's first stealth warship is launched in Mumbai. US Clean Cities award goes to Delhi for CNG programme. Delhi-Lahore bus service resumed. US finds Saddam Hussein. Kalpana Chawla, first Indian woman in space, dies as NASA's Columbia shuttle explodes. India loses to Australia in World Cup final.